

TAX BENEFIT SYSTEM IN SLOVENIA

2011

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

1.1. Average Worker wage (AW)

In period January to December 2011 in Slovenia average monthly gross earnings for activities B-N (by NACE Rev. 2) amounted to EUR 1,447.72 (annual value EUR 17,373).

In period January to December 2010 in Slovenia average monthly gross earnings amounted to EUR 1,524.65 (annual value EUR 18,296).

2. Unemployment insurance

Statutory basis for unemployment insurance is “Labour Market Regulation Act” (*Zakon o urejanju trga dela*) (Official gazette RS, no. 80/10) which substituted the Employment and Insurance against Unemployment Act and began to be implemented on January 1st. 2011.

The article 60 of the Act provides for persons older than 50 and 55 years longer maximum duration of unemployment benefit:

An unemployed person may claim the unemployment cash benefit lasting:

- three months for the insurance period ranging from nine months to five years,
- six months for the insurance period ranging from 5-15 years,
- nine months for the insurance period ranging from 15-25 years,
- twelve months for the insurance period exceeding 25 years,
- nineteen months for insured persons older than 50 years of age and with the insurance period exceeding 25 years,
- twenty-five months for insured persons older than 55 years of age and with the insurance period exceeding 25 years.

Upon repeated enforcement of the right to cash benefit, the insurance period from which the right to cash benefit had been already assessed and the insurance period achieved based on receiving cash benefit shall not be included in the insurance period for cash benefit assessment. This provision does not apply to insured persons who upon repeated enforcement of the right are older than 55 years of age and have accumulated an insurance period of more than 30 years; for them the insurance period for cash benefit assessment includes whole insurance period of that person (Article 69 of the Act).

2.1 Conditions for receipt

Payable for any registered unemployed person who is actively seeking full-time work.

Unemployment benefit conditions:

- involuntary unemployment (i.e. through no fault of their own or against his/her own will),
- fulfillment of a minimum period of insurance,
- registration at the Employment Service of Slovenia (regional unit or branch office),
- application for benefit within 30 days of the termination of employment,
- capable of work,
- actively seeking employment.

The aim of this Act is to assure security to insured persons if unemployment occurs through no fault of their own or against their will by providing an unemployment cash benefit in compliance with the reciprocity and solidarity principles. Rights to unemployment cash benefit shall not be exercised by an insured person who became unemployed through his/her own fault or volition.

It is necessary to become and remain entitled to the benefit that unemployment person is available for employment and he/she actively seeks employment. The entitlement to cash benefit shall cease if an insured person refuses an appropriate or suitable employment, an insured person unjustifiably refuses to participate in the active employment policy programme, and an insured person does not actively seek employment an insured person breaches an obligation arising from the contract on the participation in active employment policy programme (Article 65 of the Act)..

2.1.1 *Employment conditions*

Unemployment Benefit qualifying period:

- Unemployment insurance rights may be obtained by an unemployed person who was insured for at least nine months in the last 24 months before the unemployment occurred (Article 59 of the Act).
- Insurance rights shall be obtained by the insured person exclusively based on the contribution payments, if not otherwise determined hereunder for a specific event.

2.1.2 *Contribution conditions*

Insurance rights shall be obtained by the insured person exclusively based on the contribution payments, if not otherwise determined hereunder for a specific event.

Disregarding the previous paragraph, a person who was insured based on an employment relationship shall also obtain unemployment rights, even though the employer as the person liable for payment of unemployment insurance contributions failed to pay the latter and this irrespective of their recovery possibility. In these cases, the entire duration of the employment relationship shall be included in the insurance period of such insured person

Compulsory insurance for:

- persons who entered into an employment relationship with the Republic of Slovenia;
- persons who upon termination of their employment relationship receive wage compensation during temporary absence from work from the Health Insurance Institute of the Republic of Slovenia according to regulations governing health insurance;
- elected or nominated holders of a public or other office in the legislative, executive or judicial bodies in the Republic of Slovenia or in local self-government, if such persons receive salaries for their post;
- citizens of the Republic of Slovenia, employed in the Republic of Slovenia by foreign and international organisations and institutes, foreign diplomatic missions and consulates , if not otherwise specified by an international agreement and persons employed by foreign employers for which the laws of the Republic of Slovenia apply in compliance with EU regulations;
- self-employed persons;
- managers in a partnership, single-member private limited liability company and institutes;
- home care assistant, beneficiary of partial payment for lost income in line with the regulations governing social security;
- persons who based on the professional performance of foster placement have compulsory insurance in line with the law governing the pursuit of foster care, if not insured on some other basis;
- beneficiaries of parental compensation whose employment relationship has been terminated during parental leave according to the law governing parental protection and family benefits;

- parents who leave the labour market due to the childcare of four or more children for the period of eligibility for the payment of contributions according to the regulations governing parental protection;

- recipients of the unemployment cash benefit

(Article 54 of the Act).

Voluntary insurance for:

- Slovenian citizens employed by an employer in a foreign country who upon returning to their homeland cannot exercise their unemployment rights on other grounds;
- spouses and unmarried partners of Slovenian citizens employed in a foreign country who were, when entering the voluntary insurance, employed or self-employed immediately prior to their departure abroad;
- persons during the employment contract suspension according to the regulations governing employment relationships;
- spouses or unmarried partners of diplomats and other public servants assigned to work abroad if one year before their departure they had registered with the Employment Service as unemployed for at least six months;
- spouses or unmarried partners of diplomats and other public servants assigned to work abroad if one year before departure abroad they had been included in the unemployment insurance for at least six months, if such persons have no compulsory insurance hereunder.
- (Article 57 of the Act).

2.2 *Calculation of benefit amount*

The cash benefit assessment basis shall be the average monthly salary received by an insured person eight months prior to the month of unemployment.

If an insured person during the period referred to in the previous paragraph was a recipient of salary compensation pursuant to regulations governing employment relationships, health insurance, pension and disability insurance or parental protection insurance, the cash benefit assessment basis shall include the average salary received in the last eight months. If the insured person received salary for a shorter period, the received cash benefit shall be taken into account for the missing months.

The insured person who within the period referred to in the first paragraph of this Article worked for a shorter working time pursuant to regulations governing health insurance, pension and disability insurance or parental protection insurance, the cash benefit assessment basis shall include the received salary converted to full time work.

The cash benefit assessment basis for the insured person who did not receive salary or salary compensation in the aforementioned period shall include the received salary for the last eight months or, if the insured person only received salary for a shorter period, his/her basic salary for the missing months increased by the seniority allowance which the person would have received if he/she had worked.

The cash benefit assessment basis for the self-employed or persons who voluntarily entered compulsory insurance shall be the average basis from which contributions were paid for in the period referred to in the first paragraph of this Article or with voluntary insured persons for 11 months prior to the month the unemployment occurred.

2.2.1 *Calculation of gross benefit*

Unemployment benefits rates:

- first three months: 80% of the reference basis,
- following months: 60% of the reference basis.

Minimum: at least EUR 350 gross. Maximum: 3 times minimum unemployment benefit. In 2011 monthly gross statutory minimum wage is EUR 748.10.

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Reasons for termination of the entitlement to benefits are defined by the law (11 reasons), mainly related to not being available for work, not searching work and unjustifiably declining employment, temporary work, measures of training and education or other measures for reemployment, working illegally (moonlighting).

The insured person, who during cash benefit eligibility during unemployment performs work for which he/she receives or is eligible to receive income from work, which upon payment of taxes and mandatory contributions exceeds 200 Euros, is entitled to reduced cash benefit.

Income from work is construed as any income from any type of contractual relationship based on which the insured person performs physical or intellectual work, including the provision of services and creation or performance of copyrighted work. Income from work is also construed as income for performed work or services of a procurator (proxy) or for the management and supervision of a business entity with legal personality.

The cash benefit shall be reduced by 50% of the income from work which exceeds 200 Euros. If an insured person is raising minors, the cash benefit for each child shall be increased by 10% of the full amount of cash benefit to which the person concerned would have been entitled if the income from work was not generated, however it shall not exceed the full cash benefit amount. The reduction shall not be carried out if the cash benefit would have to be reduced by less than 20 Euros.

(Article 67 of the Act)

The insured person who seeks full-time employment and signs a part-time employment contract shall retain the right to be paid a proportionate part of the cash benefit and proportionate part of contributions for pension and disability insurance until the fulfilment of conditions for retirement for the difference to full-time employment.

(Article 66 of the Act)

In some other cases defined by the law the amount of benefit may be reduced.

2.3 *Tax treatment of benefit and interaction with other benefits*

Unemployment benefits are subject to personal income tax.

2.4 *Benefit duration and waiting periods*

Unemployment benefit duration depends upon length of insurance:

- 3 months for insurance of 1 to 5 years,
- 6 months for insurance of 5 to 15 years,
- 9 months for insurance of 15 to 25 years,
- 12 months for insurance of 25 years or more,
- 19 months for insured persons over 50 years of age and insurance period of more than 25 years,
- 25 months for insured persons over 55 years of age with on insurance period of more than 25 years.

The right to cash benefit can be re-applied in case of obtaining new insurance period of at least 9 months in last 24 months.

Upon repeated enforcement of the right to cash benefit, the insurance period from which the right to cash benefit had been already assessed and the insurance period achieved based on receiving cash benefit shall not be included in the insurance period for cash benefit assessment.

The provision of the previous paragraph shall not apply to insured persons who upon repeated enforcement of the right are older than 55 years of age and have accumulated an insurance period of more than 30 years.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None

2.5.2 *Older workers*

The duration of unemployment benefit is prolonged for unemployed persons aged 50 or more.

Unemployment Extension of payment of pension fund contribution:

- citizen of the Republic of Slovenia, member state of the EU, EEA or Swiss Confederation, and insured person who is an alien with a permanent residence permit,
- requires no more than one year to fulfill the minimum conditions for retirement (old-age) upon the expiration of the cash benefit unemployed person

2.5.3 *Others if applicable*

The insured person who seeks full-time employment and signs a part-time employment contract shall retain the right to be paid a proportionate part of the cash benefit and proportionate part of contributions for

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pension and disability insurance until the fulfilment of conditions for retirement for the difference to full-time employment.

Article 66 of the Act

3. Unemployment assistance

The new Labour Market Regulation Act does not foresee the right to unemployment assistance.

3.1 Conditions for receipt

3.1.1 Employment conditions

3.1.2 Contribution conditions

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

3.2.1.1 Irregular additional payments

3.2.1.2 Obligations of family members

3.2.2 Income and earnings disregards for benefit recipients and those starting a new job

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

Unemployed person could apply for benefits after the new period of employment – if he /she fulfil the conditions. When the right to cash benefit is reclaimed by an insured person whose right to this benefit terminated because it was entirely exercised, the insurance period shall not include the period of employment prior to the last entitlement to cash benefit and the period in which the person concerned received the cash benefit. Notwithstanding the previous, the insurance period shall include the total

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duration of insurance, together with the period in which the person concerned received the cash benefit, when the right to cash benefit is reclaimed by an insured person older than 50 years and with at least 25 years insurance period.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

Financial social assistance is a residual social benefit which acts as a final safety-net. It is designed as a minimum needed to cover the costs of most needed issues: food, clothes, heating, hygiene & minor-basic health-care costs, etc.

Financial social assistance can be increased for the *attendance allowance* to persons entitled to financial social assistance who are incapable of working because of old age, disease or disability and needs the help of other persons to perform basic vital functions and does not receive allowance for attendance offered by other persons according to other regulations. The need of help offered by other persons shall be established by the invalidity commission. The level of attendance allowance shall be determined at the level of attendance allowance to which entitled persons would receive if they were entitled to it according to the regulations regarding pension and disability insurance.

4.1 Conditions for receipt

Social assistance is paid conditionally on passing a means test. The need for social assistance is estimated each time case by case.

The aim of financial social assistance is to provide the basic means to individuals and families who are temporarily unable to secure sufficient funds for basic subsistence according to statutory criteria. Social Work Centre (*Center za socialno delo*) may grant Financial Social Assistance (*denarna socialna pomoč*) to help alleviate temporary material hardship of those without sufficient subsistence means.

Beneficiaries are: all permanent residents, as well as those entitled on a basis of international agreements ratified by the Republic of Slovenia.

Financial Social Assistance (*denarna socialna pomoč*) is granted to families and to single persons. As family member claimants are defined: spouse or cohabitant, claimant's children, stepchildren for the duration of his/her obligation to care for them, parents and stepparents, orphaned grandchildren, nephews and nieces of the claimant, if she/he has to support them.

In 2006 Act on Social Assistance was modified and come into force from 2007. In order to become entitled to financial social assistance, the individual without other means of subsistence who is capable of work must actively seek work (this means the person has to be registered at local employment office as unemployed and actively seek a job). Also, the beneficiaries/recipients of Financial Social Assistance are formally obliged to accept all kind of offered employment or work activities (8h/week, max. 56h/month) in non-profit sector for which they are able (physically and mentally).

Financial social assistance is not granted to persons who do not achieve the minimum income for reasons which they could or can influence or who, without valid reasons, reject, avoid or abandon activities which could or can lead to employment or to another method of improvement of their social situation or the social situation of their family members. The reason referred to this are for example termination of a labour relation for specified reasons, failure to register with the body responsible for employment, unjustified rejection of an appropriate work under a contract for work or a copyright contract and to appropriate temporary or casual humanitarian or other similar work, unjustified abandonment of the exercise of a right which could influence the social situation of the person or his or her family members, unwillingness to accept the call for concluding the contract on means of support, refusal to conclude or failure to implement the contract on the active addressing of his or her social problems, serving a prison sentence, loss of the means of subsistence or of any part of the income, notwithstanding its determination as own income or not according to this Act, for the reasons caused under the person's own influence.

Social assistance can be received at the same time as other benefits but only when other benefits do not exceed the amount of minimum income.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The level of Financial Social Assistance (*denarna socialna pomoč*) is linked to the Basic Minimum Income (*minimalni dohodek*) determined by and adjusted in accordance with the Social Protection Act (*Zakon o socialnem varstvu*); Official gazette 3/07, 23/07, 41/07; and Act regulating adjustments of transfers to individuals and households in the Republic of Slovenia (*Zakon o usklajevanju transferov posameznikom in gospodinjstvo*); Official gazette 114/06; once a year. With the change to the Act Regulating Adjustments of Transfers to Individuals and Households in the Republic of Slovenia, from 1 July 2008 on transfers to individuals and households are adjusted twice a year; the first time in July with the growth of consumer prices in the period January to June of the current year and the second time in January with the growth of consumer prices in the period July to December of the previous year. In November 2010 Act on Intervention Measures was passed in the Parliament, stating (among other measures) that in 2011 social transfers to individuals and households will only be adjusted for 25% of the adjustment envisaged in the Act Regulating Adjustments of Transfers to individuals and households. Since 1 July 2011 the Basic Minimum Income (BMI) amounts to EUR 230,61.

Families are entitled, if their total monthly income doesn't exceed the following thresholds:

- First adult and single person: 100% of the BMI = EUR 230,61
- Every next adult: 70% of the BMI = EUR **161,42**
- Child up to 18 years of age: 30% of the BMI = EUR **69,18**

The monthly amount of Financial Social Assistance (*denarna socialna pomoč*) is defined as the difference between corresponding thresholds and total income of family (family members), according to the above mentioned rules.

The duration of Financial Social Assistance (*denarna socialna pomoč*) may not exceed a period of 3 months when granted for the first time or 6 months, if circumstances remain unchanged. Under certain conditions benefit may be granted for maximum of 12 months or even permanently (age over 60 years, permanent inability to work, no income and no one with obligation to financial support). In 2010, the average monthly number of recipients of financial social assistance for a period was 48,255 (persons and/or families). The average monthly number of recipients of permanent financial social assistance in 2010 was 411.

4.2.1.1 Irregular additional payments

In cases where it is found that single persons or families, for reasons beyond their control, found themselves in a position of material threat, they can be granted - according to the needs - the extraordinary financial social assistance:

- In a lump sum when there is a current material threat to a single person or a family (one-off extraordinary assistance)
- Or for a period for which financial social assistance is allocated when the Social Work Centre finds that there is a material threat which will last more than two months (extraordinary assistance).

The monthly amount of extraordinary social assistance can not exceed the amount of minimum income of the single person or the family, while the amount of one-off extraordinary assistance in one calendar year can not exceed the amount of two minimum incomes.

In 2010, on average every month 4,079 persons or families were given one-off extraordinary social assistance and 979 persons or families were given extraordinary social assistance.

4.2.1.2 *Obligations of family members*

Family members of the applicant, who because of inactivity do not meet the obligations regarding active job search (registration at employment office and actively seeking for a job), are not entitled to financial social assistance, so in calculating the amount of financial social assistance they are not taken into account.

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

"Income taken into account" includes inheritance, gifts, income from agricultural and entrepreneurial activities and all wages and earnings of an individual or his family members which are subject to income tax, as well as non-taxable personal earnings, with the few exceptions (scholarships, alimony, child benefits,...),

Financial Social Assistance (*denarna socialna pomoč*) will not be granted; if savings or property (with some exceptions) exceeds the level of 60 times the BMI (the BMI since 1 July 2010 amounts to EUR 230.61).

4.3 ***Tax treatment of benefit and interaction with other benefits***

Financial social assistance is not taxed.

Financial social assistance is taken into account as income when child benefits are calculated.

4.4 ***Benefit duration and waiting periods***

The duration of Financial Social Assistance (*denarna socialna pomoč*) may not exceed a period of 3 months when granted for the first time or 6 months, if circumstances remain unchanged. Under certain conditions benefit may be granted for maximum of 12 months or even permanently (age over 60 years, permanent inability to work, no income and no one with obligation to financial support).

Financial assistance may be renewed if the circumstances serving as the basis for granting and determining the level of financial social welfare during the period or the previous and renewed decisions remain unchanged.

4.5 *Treatment of particular group*

Financial Social Assistance (*denarna socialna pomoč*) is given primarily to the family as a whole. There are no other conditions relating to age.

4.5.1 *Young persons*

Assistance is also given to single person aged over 18 years, who do not live in the same household with their parents are neither married nor cohabiting and have no children. If they have children, than they are treated as family.

4.5.2 *Older workers*

No special treatments.

4.5.3 *Others if applicable*

For a single-parent family the financial social assistance – the level of minimum income is increased by an additional 30% of the BMI.

There is also an SA increase which is rent-related. See section 5 for details.

5. **Housing benefits for rented accommodation**

Housing benefits are under the competence of the Ministry for environment and spatial planning and are defined in the Housing Act (*Stanovanjski zakon*); Official gazette 69/2003 and 18/2004; that was put in force on October 2003, while a new system of housing benefits was put in force on 1st January 2005 and on 1st January 2009. The act among others regulates formation of the non-profit rents and housing benefits.

Analysis of paid subsidies:

Year	Paid subsidies (mio EUR)	Number of claimants	Average monthly subsidy (in EUR)
2004	mio SIT 1,210	6,900	SIT 14,614 (EUR 61)
2005	mio SIT 930	5,400	SIT 14,352 (EUR 60)
2006	mio SIT 1,163	5,700	SIT17.025 (EUR 71)
2007	5.2	5,870	74
2008	5.4	5,340	84
2009	5,6	5,450	86
2010	5,3	5.411	82
2011	6,5	6.067	89

Source: Ministry for environment and spatial planning

5.1 Conditions for receipt

Admission census:

Size of the Household	Average household income per month (€)
1 member	up to 430
2members	up to 730
3 members	up to 860
4 members	up to 1010

5.2 Calculation of benefit amount

Housing benefits depends on the claimant's income and amounts in a range 1% to 80% of the rent for apartment (compulsory 20% minimum payment by claimant). Subsidy is calculated according to the size of apartment defined as appropriate for social apartments and it depends also on the number of the household members.

Beneficiary must pay 20% of the rent and if beneficiary's ability of rent payment is below 20% then beneficiary is entitled for HB in amount of 80% of the rent. If beneficiary's ability is more than 20% of the rent then beneficiary is entitled for HB in amount of difference between the ability and rent.

5.2.1 Calculation of gross benefit

5.2.2 Income and earnings disregards

5.2.3 Costs eligible for housing benefits

In the valid housing legislation and its implementing regulations, maximum or acceptable housing costs are not determined, neither as the average nor by types of households. Therefore, the level of allowable or desired costs related to the use of housing in a region or municipality are not monitored or determined in any other way.

5.3 Tax treatment of benefit and interaction with other benefits

Housing benefits are not taxed.

Reference date for all information is **July 1st 2011**

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5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

Standards for the size of non-profit apartment and for housing benefit claimant:

1 person: 20-30m²
2 persons: 30-45 m²
3 persons: 45-55 m²
4 persons: 55-65 m²
5 persons: 65-75 m²
6 persons: 75-85 m²
for further member +6m²

In the year 2011 was the average housing subsidy EUR 89.

6. Family benefits

6.1 Conditions for receipt

The claimant (one of the parent or another person for a child) must have a dependent child aged under 18, or under 26 if is still in education or the child is over 18 and has no parents or does not live in a joint household with parents, if the Centre of social work decides so on the basis of the circumstances.

6.2 Calculation of benefit amount

The aim of child benefit is to provide parents or the child supplementary income for living, raising and education when the income per family members does not exceed the maximum limit of income class. For the purposes of family benefits, income is defined as earned income plus unemployment benefits, but excludes family benefits. All included amounts are gross income, not net (after tax) income.

6.2.1 Calculation of gross benefit

Child benefit amounts in 2011 to (in EUR per month):

Income per family member in % of the average monthly wages of all employees	Amount of child benefit for each child		
	1st child	2nd child	3rd child and subsequent child
up to 15% (EUR 224,23)	114,84	126,33	137,83
over 15% to 25% (EUR 224,23 – EUR 373,72)	98,19	108,55	118,84
over 25% to 30% (EUR 373,72– EUR 448,46)	74,83	83,65	92,42
over 30% to 35% (EUR 448,46 – EUR 523,21)	59,03	67,35	75,83
over 35% to 45% (EUR 523,21 – EUR 672,70)	48,27	56,33	64,33
over 45% to 55% (EUR 672,70 – EUR 822,18)	30,58	38,28	45,93
over 55% to 75% (EUR 822,18 – EUR 1.121,16)	22,94	30,58	38,28
over 75% to 99% (EUR 1.121,16 – EUR 1.479,93 EUR)	19,97	27,63	35,28

If a pre-school child does not attend kindergarten in accordance with the regulations for kindergartens, the amount of the child benefit is increased by 20%.

In addition to child benefit there are following supplementary allowances available:

Child birth allowance – one-time assistance at childbirth (financial assistance – amount EUR **280.75** in 2011 - or a package for the newborn)

Parental allowance - financial assistance (365 days after the birth of a child) to parents when they are not entitled to parental compensation after the birth of the child. In the year 2011 parental allowance amount to EUR **196.49** per month.

Large family allowance is an annual benefit for families with three or more children. In 2011 large family allowance for three children amount to EUR **393.46**, for four or more children amount to EUR **479.83** and is paid as a lump sum payment.

Partial payment for lost income. Partial payment for lost income is a personal benefit to one of the parents who has terminated his or her employment or started to work short time in order to care and safeguard a child with severe disturbance in mental development or severe disability in movement. The monthly amount of partial payment for lost income is the minimum wage for which the person concerned pays social security contributions.

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

Child benefit is defined as percentage from the average monthly wage of all employees in the Republic of Slovenia (from statistical survey Monthly Report on Earnings by Legal Persons) for the calendar year before the application is filed and is tested once a year (EUR 1,494.88 for 2010). The amount of the child benefit also depends on the number of children in the family receiving child benefit.

6.3 *Tax treatment of benefit and interaction with other benefits*

Child benefits are not taxed.

Child birth allowance is not taxed

Parental allowance is not taxed

Large family allowance is not taxed.

Partial payment for lost income is taxed.

6.4 Treatment of particular groups

6.4.1 Young persons

6.4.2 Older workers

6.4.3 Others if applicable

Lone parents: The amount of child benefit is increased by 10% (only for child benefit (6.2.1 page 10))

Special Child Care Allowance for a Child in Need of Special Care: Additional allowance. The monthly amount of special care allowance is in 2011 EUR **101.05**. For a child with severe disturbances in mental development and children with severe disability in movement, who need special care, the allowance is EUR **202.17**.

The Special Child Care Allowance for a Child in Need of Special Care is not taxed.

7. Childcare for pre-school children

Pre-school education, offered by pre-school institutions, is not compulsory. The curriculum is divided in two cycles (from 1 to 3 and from 3 to 6). The new curriculum promotes different types of programme such as: day, half-day and short programmes. There is also possibility of child minders, pre-school education at home or occasional care of children in their homes. The Curriculum for Pre-school Institutions was approved by Council of Experts and it defines six areas of activities: movement, language, art, nature, society and mathematics. The goals set in individual fields of activities provide the framework for selection of contents and activities by teachers.

Fraction of children in childcare in 2009:

From 1-2 years: 53.3%

From 3-5 years: 87.5%

Total: 73.9%

Compulsory schooling starts at the age of 6 (children whose sixth birthday occurs in the calendar year of their school entry are enrolled).

7.1 Out-of-pocket childcare fees paid by parents

Childcare fees are not tax deductible.

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The system of determining parents' payments for kindergarten programs is determined by the Kindergarten Act and the Regulations on Payments of Parents for Kindergarten Programs, adopted by the Minister of Education.

The payment of parents is determined by the municipality on the basis of parents' income and assets held by the family as a percentage of the price of the program in which the child is included.

The price of the program for which parents pay a certain percentage is determined by the municipality on the proposal of the kindergarten. The kindergarten calculates the price on the basis of identified costs of education, care and food in the kindergarten.

Kindergartens conduct all-day programs (lasting from 6 to 9 hours), half-day programs (lasting from 4 to 6 hours) and shorter programs (lasting from 240 to 720 hours). Most of the children (97%) are included in all-day programs.

From 1 September 2008 on the government provides funds for co-financing the payment of parents who have more than one child from the same family included in the kindergarten at the same time. The government provides funding in the amount which is determined by a decision as parents' payment for the kindergarten program in which the younger children are included. In this case parents pay only for the oldest child in the kindergarten, while the other children are exempt from the payment, and the payment for the oldest child is one bracket lower than normally.

The Act and the Regulations stipulate that parents' payment for the kindergarten is set according to the monthly income per family member in comparison with the average earnings per employee in the Republic of Slovenia in the past year, taking into account family assets. According to the income per family member, families are classified into income brackets determined by a special scale. The classification into income brackets determines the percentage of the price of the program parents have to pay. The scale has 8 income brackets: parents in the lowest income bracket have to pay 10% of the cost of the program, while parents in the eighth income bracket have to pay 80% of the cost of the program. The difference between the parents' payment and the full price of the program is paid by the municipality from public funds.

If a family has assets the value of which exceeds EUR 42,000, the payment determined on the basis of income is increased by one income bracket, if the family has assets in excess of EUR 84,000, the payment is increased by two brackets, if the family has assets that exceed the value of EUR 125,000, the payment is increased by three brackets. If family assets exceed the value of EUR 210,000, the parents pay 80% of the cost of the program. Assets considered in this case are the following movable and immovable property: dwellings and houses which family members do not use for residence, business premises and commercial buildings, facilities for rest and recreation, vessels which in accordance with maritime law must be entered in the register of boats, building land, excluding land on which the residential house in which the family lives is located, personal vehicles worth over 18 minimum wages, equity shares in companies and cooperatives, securities which are traded on a regulated securities market, and other movable property of higher value.

If in the course of the year the number of family members changes, or if one of the family members gets a job or loses it, or a child is placed into a foster family or some other type of institutional care, payment is determined anew, taking into account the new situation and the current income.

Income brackets according to the average gross earnings in 2009 (EUR 1,438.96) used to determine parents' payments as of **1 January 2011**:

Income bracket	Income bracket (share of gross monthly income per family member compared to average earnings in Slovenia in the previous calendar year)	Monthly gross income per family member in 2009 (EUR)	Payment (% of the program price)
1.	Under 25%	Under 359.74	10%
2.	25% to 35%	359.74 to 503.64	20%
3.	35% to 45%	503.64 to 647.53	30%
4.	45% to 55%	647.53 to 791.43	40%
5.	55% to 70%	791.43 to 1,007.27	50%
6.	70% to 90%	1,007.27 to 1,295,06	60%
7.	90% to 110%	1,295,06 to 1,582,86	70%
8.	110% +	1,582,86	80%

We have to emphasise that the Kindergarten Act stipulates that parents who receive financial social assistance are fully exempt from payment.

The municipality may, depending on its social policy, further reduce the parents' payment.

The Ministry of Education and Sport collects data on the prices of kindergartens and parents' payments. In 2011, the average price for the 1st age group (for children between one and three years of age) was EUR 456.80 and for the 2nd age group (children from three years of age to entering elementary school) EUR 333.80. On average, parents' payment in Slovenia is 32.05 % of the cost of the program, which means that the average parents' payment for the 1st age group is EUR 146.40 and for the 2nd age group EUR 109.07.

7.2 *Child-care benefits*

7.2.1 *Conditions for receipt*

Conditions for receipt

The right to child benefit shall be granted to one of the parents or another person for a child who live registered in the Republic of Slovenia when the income per family member does not exceed the maximum limit of income class pursuant to Parental Protection and Family Benefits Act.

The child shall be a person until the age of 18, or older if she or he attends school for as long she or he has the status of a pupil, apprentice or undergraduate student, but only until the age of 26 at the latest.

The right to child benefit shall not be granted to one of the parents for the child who in order to obtain education, schooling or training lives in an institution which provides fulltime care free of charge.

7.2.2 *Calculation of benefit amount*

7.2.2.1 *Calculation of gross benefit*

Gross income includes all the incomes which are subject to personal income tax, transfer income and all other income which is described in the 73. Article of the Parental Protection and Family Benefits Act.

The average monthly income per family member shall be calculated by dividing the family's joint income with the number of months to which income relates and the number of the family members pursuant to the Parental Protection and Family Benefits Act

7.2.2.2 Income and earnings disregards

Families shall be classified into individual classes on the grounds of the average monthly income per family member in the preceding calendar year. When the right to child benefit is applied for in January, February or March, the average monthly income per family member in the calendar year before last shall be taken into account.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Child care benefits are not taxed.

7.2.4 *Treatment of particular groups*

The amount of the child benefit shall be laid down on the basis of family placement in the income class and the number of the children. The child benefit for the child who lives in a single-parent family shall be increase by 10%.

8. Employment-conditional benefits

1. Employment rehabilitation.

Persons with disability are eligible for employment rehabilitation programme including services for persons with disability for counseling, motivating and empowering persons with disability for taking active part in their employment lives, making assessment on working abilities, knowledge, skills and professional interests, psychosocial rehabilitation and informing of options in labour market, follow-up of social and working environment, helping to find proper job, helping for developing professional goals and social skills, analysis of working environment, analysis of required technology in working environment, training for specific job.

Eligibility depends on:

- Whether there is influence of the effects of physical or mental disability or disease on an individual.
- Needs for services of employment rehabilitation as a part of whole rehabilitation.
- Level of employability by adapting working environment or using of modern technology.
- Assessment of social or working environment.

2. Allowance

Persons with disability who participate in programme of employment rehabilitation are eligible for temporary allowance to compensate loss of income for the time of participation. Allowance also includes travel and accommodation expenses of the participants.

Employment service of Slovenia has the authority to decide about the entitlement of the status or rights of persons with disability.

3. Subsidy of salary

Persons with disability are eligible for compensation of lower incomes due to their lack of productivity.

The subsidy is intended for employees with disability in protected and supported work places. 30-70% of salary is intended for those employed in protected work places, 5-30% of salary for those in supported employment and 5-30% of salary for those employed in companies for persons with disability. Subsidy is dependent on level of disability.

The entitlement for subsidy is decided upon Foundation for promoting employment of persons with disability.

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

Subsidies are taxed in the hands of the employers.

There are tax allowances for the employers (the deduction of the tax base equals to 50% of the salary of the disabled person; or 70% in the cases of the special disability defined by the law.

8.4 *Benefit duration*

Benefit duration is dependent on duration of the participating in Programme of employment rehabilitation, whilst subsidy is not limited.

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

9. Lone-parent benefits

(see chapter 6 on Family benefits)

9.1 *Conditions for receipt*

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

9.2.1.1 *Irregular additional payments*

9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. Tax system

Income from employment which includes income of part-time workers and unemployment benefits, is taxed in a way that the taxable bases of different sources of income earned in a calendar year are computed separately and then aggregated. In computing the taxable base the contributions for social insurance and standard and nonstandard, if any, allowances are deducted. The net tax base is taxed at progressive rates. The annual tax rate schedule is fixed and is adjusted on a yearly basis according to the growth of the consumer price index in Slovenia for November of the current year compared to the November of the preceding year, according to data from the Statistical Office of the Republic of Slovenia.

Financial social assistance, housing benefit or child benefits are not taxed.

Self-employed individual has an income in a form of profit and is included in the social insurance systems (pension and disability, health, unemployment and maternity leave).

10.1 Income tax

Personal income tax is levied on six categories of income. Income from employment, business, basic agriculture and forestry, rents, royalties and other income is taxed aggregated at yearly level and at progressive rates and taking into account the allowances and deductions. So-called capital income (interest, dividends and capital gains) is taxed at proportionate rates on a scheduled basis.

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Allowances that reduce the aggregated taxable base for a resident taxpayer on an annual level include:

1. - general allowance: EUR 3,143.57 in 2011 for all resident taxpayers.
 - additional general allowance for residents with lower income:
 - EUR 3,062.11 for resident taxpayers with active income up to EUR 10,342.80.(together EUR 6,205.68);
 - EUR 1,062.17 for resident taxpayers with active income more than EUR 10,342.80 and up to EUR 11,965.20 (together EUR 4,205.74).
2. Family allowances are granted to residents who support their family members:
 - 1 An allowance of EUR 2,319.50 is given for the first dependent child. For each subsequent child this amount is raised (by EUR 202.09 for the second child; by EUR 1,886.14 for the third child; by EUR 3,570.20 for the fourth child; by EUR 5,254.25 for the fifth child and by EUR 1,684.05 for any subsequent children)
 - 2 EUR 8,404.56 for dependent child who require a special care
 - 3 EUR 2,319.50 for any other dependent family member.

Family allowance for a dependent child can be granted only to one taxpayer (parent), the other can use only a difference to the granted allowance.

Under the Personal Income Tax Act a dependent family member is a spouse who is not employed and performs no business activities, has no income of her/his own for maintenance or she/he has an income which is less than the level of special relief for a maintained family member (EUR 2,319.50 in year 2011) and the separated or divorced spouse of the taxpayer, if such spouse has been granted the right to maintenance paid by the taxpayer under a court order or agreement concluded pursuant to the regulations on marital union and family relations.

3. Special deduction for voluntary additional pension insurance: amounts of premium paid by a taxpayer or his employer but no more than 24% of compulsory contributions for pension insurance paid by a taxpayer but no more than EUR 2,683.2 annually (for 2011).

4. Non-standard tax reliefs applicable to income from employment::

- travelling to the work (up to the costs of public transport)
- meal during the work (up to EUR 6.12 per day)
- daily allowance for expenses during business travel
- expenses for business travel (documented)
- expenses for hotel during business travel (documented)
- compensation for the use of an employee's own possessions and property when working at home
- compensation for the use of an employee's own tools and other equipment (except private vehicles)

10.1.1.2 Standard tax credits

There is no standard tax credit.

10.1.2 Income tax schedule (central government income tax)

Tax schedule for the year 2011 is:

Taxable base (EUR)	Rate
up to 7,634.40	16%
7,634.40 to 15,268.77	EUR 1,221.50 + 27 % over EUR 7,634.40
above 15,268.77	EUR 3,282.78 + 41.% over EUR 15,268.77

10.1.3 *State and local income taxes*

There is no personal income tax on the local level.

10.2 *Treatment of family income*

Personal income tax applies to an individual's income. Each individual is treated as a separate taxpayer. There is no taxation of spouses or a family as a whole.

The taxpayer is entitled to the family allowance for a dependent child and other dependent family member – for example a spouse without income of her/his own.

Family allowance for a dependent child is transferable between partners/spouses. The allowance for the same maintained family member in the tax year shall be granted only to one taxpayer, while another may be granted only the possible difference up to the total amount of the relief. [i.e. how does income of other family members affect tax liabilities? Are taxes paid jointly or on an individual basis? Are there tax deductions or allowances for partners/spouses? Are unused portions of tax deductions or allowances transferable between partners/spouses?]

10.3 *Social security contributions and payroll taxes*

There are four compulsory social security insurance schemes:

- i) pension and disability insurance;
- ii) health insurance;
- iii) unemployment insurance and
- iv) maternity leave insurance.

Persons liable to pay contributions are insured individuals (employees, self employed persons, including farmers, other individuals), employers and other persons.

In general both employers and employees pay compulsory social security contributions.

The basis for social security contributions of employees and employers is the amount of the gross wages and salaries (with no limitations), including other income from employment (such as vacation payments, fringe benefits and remuneration of expenses related to work above a certain threshold).

The system of health insurance is divided into compulsory health insurance, voluntary health insurance for additional coverage, and insurance for services that are not a constituent part of compulsory insurance.

The pension and disability insurance system covers:

- compulsory pension and disability insurance based on the intergenerational solidarity;
- compulsory and voluntary supplementary pension and disability insurance;
- pension and disability insurance on the basis of personal pension savings accounts.

Compulsory social security contributions are not taxed.

10.3.1 Contributions payable by employees and benefit recipients

Pension insurance	15.50
Health insurance	6.36
Unemployment insurance	0.14
Maternity leave	0.10
Total	22.10

Employees' contributions are deductible for personal income tax purposes.

10.3.2 Contributions payable by employers

Pension insurance	8.85
Health insurance	7.09
Unemployment insurance	0.06
Maternity leave	0.10
Total	16.10

Employers' contributions are deductible for corporate income tax purposes.

10.3.3 Payroll taxes

There is no payroll tax.

10.4 Treatment of particular group

10.4.1 Young persons

Resident students are granted special allowance of EUR 3,143.57 for income earned by pupils or students for temporary work done on the basis of a referral issued by a special organization dealing with job-matching services for pupils and students.

On 31 May 2010 an Act on school meals was passed which regulates the organisation and subsidies for school meals for students in compulsory and upper secondary education. Funds for one meal per student per day are provided by the state budget. The price for the meal is determined by the Minister and the school must provide the meal within such determined price. Every student is entitled to a subsidy of 2/3 of the price. Those students whose income per family member is lower than 30% of the average earning in the Republic of Slovenia are entitled to the remaining 1/3 of the price. While students in upper-secondary schools whose income per family member is between 30% - 55% of the average earning in the Republic of Slovenia are entitled to an additional 1/6 of the price (on top of the general 2/3 price subsidy). In addition, funds are provided for the total price of the lunch in compulsory schools for those children whose income per family member is below 5% of the average earning.

Every pupil enrolled in basic school education (single structure of primary and lower secondary education) can participate in at least one open-air school event. All are entitled to receive financial support for this at least once during their schooling. There are special subsidies to support the participation of socially disadvantaged pupils. For children involved in programs for children with special needs and in special programs of education and training, these funds are provided for more than one generation of pupils.

The Ministry of Education and Sport provides free textbooks from textbook funds for all elementary school children. Secondary schools are free to set up textbook funds, while students pay a certain fee for textbooks, which, however, must not exceed one third of the price at which the textbook was purchased by the school. There are special subsidies for socially disadvantaged students, allowing them to borrow textbooks for free.

Local communities by law provide free transportation for children whose residence is located more than four kilometres from the elementary school. First-grade children have the right to free transport irrespective of the distance from their residence to their elementary school, while in the other grades they have this right if the competent road traffic safety authority finds that the safety of children on the way to school is endangered.

Children and pupils with special needs have the right to free transport, irrespective of the distance from their residence to their school if so determined by the decision on the assignment. Students that need education in specialised institutions have the right to free care and free transport home during school free days.

Funds for the transport of elementary school children and funds for the protection of commuters who are threatened by dangerous wild animals on their way to school are provided from the national budget.

Funds to subsidize transport for apprentices, pupils and higher education students are also provided from the national budget. Funds from the national budget to subsidise transport of apprentices, pupils and higher education students attending school at a distance of 5 km or more from their place of residence are provided so that the amount of the subsidy is 70% at the most, depending on the social situation of the beneficiary, the distance from the place of education and the possibility of housing in an upper secondary school boarding home or a student residence hall.

Living in an upper secondary school boarding home: In care that the family has one or more children who reside in an upper secondary school boarding home, it pays only for the first child, while others live there for free.

The Republic of Slovenia subsidises accommodation of students in public and private institutions, with other private operators registered for the industry of student accommodation and through the latter with the private operator's owners of rooms.

In regard to subsidising student accommodation to the citizens of the Republic of Slovenia, learning i.e. study success is accounted for, material status, remoteness of the permanent place of residence from the place of study and social and health circumstances of the student in question are also accounted for.

10.4.2 *Older workers*

Residents over 65 years of age shall be eligible for a reduction in the annual tax base of EUR 1,352.86 in 2011.

10.4.3 *Others if applicable*

Personal allowances for income tax purposes:

- Disabled person's allowance: EUR 16,808.00 in 2011
- Independent artists, journalists and sportsmen: a special deduction of 15% from their revenues (up to EUR 25,000).

Reduction of the tax base is recognized to the resident – cross-border migrant worker for the income, which this person receives from a foreign employer on the basis of the employment relationship, performed abroad. This relief is EUR 7,211.57 for 2011. The cross-border migrant worker is a taxpayer, who due to performing work abroad migrates abroad and returns back to Slovenia daily or at least once a week.

Tax credits for income tax purposes:

- equal to 13.5% of the pension received from pension compulsory social insurance.
- equal to 13.5% of the compensation received from disability compulsory social insurance.

Self-employed individuals are obliged to pay social security contributions (SSC) on the basis of their profits. They are obliged to pay SSC on the monthly basis. There is no consolidation on a yearly level.

The insurance base for self-employed insured individuals is determined by the following indicators:

- if the achieved base (profit with some adjustments) for a previous year (the base) is below the minimum annual wage, at least in the amount of the minimum wage;
- if the base is an amount between the minimum annual wage and the average annual, at least in the amount of 60% of annual wage of the pre-previous month;
- if the base is an amount between the average annual wage and a 1.5 times average annual wage, at least in the amount of 90% of annual wage of the pre-previous month ;
- if the base is an amount between a 1.5 times and a 2.0times average annual wage, at least in the amount of 1,2 of annual wage of the pre-previous month;
- if the base is an amount between a 2.0 times and a 2.5 times average annual wage, at least in the amount of 1,5 of annual wage of the pre-previous month;
- if the base is an amount between a 2.5 times and a 3.0 times average annual wage, at least in the amount of 1,8 of annual wage of the pre-previous month;
- if the base is an amount between a 3.0 times and a 3.5 times average annual wage, at least in the amount of 2,1 of annual wage of the pre-previous month;
- if the base exceeds the amount of a 3.5 times average annual, at least in the amount of 2.4 times annual wage of the pre-previous month.

Contributions payable by **Self-employed**

Pension insurance	24.35
Health insurance	13.45
Unemployment insurance	0.20
Maternity leave	0.20
Total	38.20

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11. Part-time work

11.1 Special benefit rules for part-time work

11.2 Special tax and social security contribution rules for part-time work

There is no special tax regime for a part-time work.

12. Policy developments

12.1 Policy changes introduced during 2011

There is no policy aiming at increasing or reducing the number of beneficiaries for subsidized rents or the amount of such subsidies.

The number of beneficiaries solely depends on current social-economic circumstances in the country such as are the employment rate and level of income of the citizens

12.2 Future policy changes announced in 2012

In July 2010 the Exercise of Rights to Public Funds Act was passed (amendments in June 2011), which enters into use on 1 January 2012. This act stipulates the types of cash benefits, subsidies and payments, which are decided upon this act, the limits of income, which are considered at exercising the rights to public funds that depend on the material situation, uniform method of establishing the material situation, the level of certain rights to public funds and the procedure of exercising these rights.

Under this act social work centres decide on the right to the following cash benefits, subsidies and payments: Child benefit, Social assistance, Income support, State scholarships, Reducing the payment for kindergarten programmes, Additional subsidies of snacks for elementary and high school students, Lunch subsidies for elementary school students, Transport subsidies for high school students and students, Exemption of payments of social security services, Contribution to the payment of funds, intended for the payment or supplementary payment of rights to a family assistant, Rent subsidy, Right to covering the difference to the full value of health services, Right to the payment of contribution for compulsory health insurance for the citizens of the Republic of Slovenia with permanent residence in the Republic of Slovenia who are not insured in any other respect under the act, regulating health insurance

In July, 2010 Social Protection Benefits Act was passed (amendments in June 2011), which enters into force on 1 January 2012.. This Act regulates the right to cash social assistance and the right to income support, the entitled persons according to this Act, conditions for entitlement to the cash social assistance and income support, their amount, period of awarding, the manner of harmonisation and payment, procedure for establishment of unduly received cash social assistance, financing, supervision and filing systems. The entry into force of this Act terminates the provisions of Social Security Act where they refer to social assistance. The new Social Protection Benefits Act presumes new amount of minimum income EUR 288.81.

In 2009-2010 there were no changes in housing legislation that would significantly affect the policy of subsidized rents. There are also no changes foreseen after 01. July 2010.

A consequence of new social legislation passed in 2010 and entering in force in January 2012 (Exercise of Rights to Public Funds Act and Financial Social Assistance Act) it is estimated there will be a slight increase in the number of beneficiaries for subsidized rents and also an increase in the amount of such subsidies.

In January 2011 the **Labour Market Regulation Act (ZUTD)** enters into use. The aim of this act is to increase the security of job-seekers, especially the security of unemployed persons and persons whose employment is at risk, through the government's quicker response in the labour market. The objective is to establish a system of lifelong career orientation and employment brokerage which shall enable free choice of employment or vocation to comply with an individual's competencies and employment opportunities, and to achieve the highest employment rate possible. Increased security and enhanced employability shall be ensured also through active employment

policy measures aimed at education and training to comply with labour market needs, promotion of employment and creation of jobs.

On 2 November this 2011, amendments to the Vocational Rehabilitation and Employment of Persons with Disabilities Act were published in the Official Gazette of the Republic of Slovenia No 87/2011. The major change was the harmonisation of EU law with domestic legislation in the area of the state aid that may be granted to employers who employ people with disabilities. In addition to this harmonisation, the legislator amended certain other provisions whose application and evaluation results required minor amendments for the purpose of improving the effectiveness of the Act, facilitating its application and ensuring a user-friendly procedure. Among these changes, the following are to be highlighted:

- compulsory technical education for professional workers carrying out vocational rehabilitation services, for rehabilitation commission members and professional workers in social enterprises and employment centres, thereby improving their professional level of work;
- the increase of cash benefits during the vocational rehabilitation from the present 30 % to 40 % of minimum pay, with a view to promoting the inclusion of unemployed persons with disabilities into these services;
- co-financing the adaptation of the working environment and equipment to the work to be carried out during the rehabilitation period if the performance of work without the relevant adaptation was not possible, and this must be evident from the rehabilitation plan.

The main announced policy development, relevant in this context, in education, is the adoption of a Law on changes and amendments to the Basic School Act (planned for November 2011). The rationale behind are the objectives of improving quality, equity and conditions for optimal and harmonious development of individuals. In line with this orientation, the new Law would introduce novelties in the areas of teaching and learning of foreign languages, special needs education, assessment and extra-curricular activities.

Annex

Definition of social security contributions and payroll taxes.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.